2004 Maintenance Increase — Board Memo dated January 2004

Effective January 1, 2004 · Rate: $12.75 → $14.00 per share · Increase: +$1.25/share/year · +$106,284 annually · 9.8%

■ *Note: The original board memo for this increase is not available. This document is a reconstruction based on available records confirming that the increase occurred.*

The increase was necessary to balance the budget in response to substantial increases in operating expenses anticipated for 2004.

Board of Directors vote — All in favor: Glenn Keegan, Les Lew, Karen Gongora, Janet Henry, Peter Merson, Laura Szego

Context: The 2004 increase was the first of three consecutive double-digit increases: 9.8% in 2004, 13.5% in 2005, and 17% in 2006. The 2004 and 2005 increases were supported unanimously by the board including Peter Merson, as the audited financial statements confirm the building was operating near break-even during this period. The 2006 increase — the largest in Riveredge history — was a different matter, imposed when the audited records show several cited cost drivers were flat or falling. Peter Merson voted against the 2006 increase.

Reconstructed board memo follows on the next page.

RIVEREDGE OWNERS, INC.
1 David Lane
Yonkers, New York 10701
January 2004

Dear Fellow Shareholders:

Riveredge Owners Board of Directors approved the 2004 budget for the building. Due to substantial increases in operating expenses, the funds necessary to operate and maintain the building are anticipated to be 9.8% higher during 2004. After much discussion and thoughtful consideration, the Board voted to increase maintenance fees to balance the budget.

Thank you.

The Riveredge Board of Directors

Board of Directors vote count:

All voted for:
Glenn Keegan, Les Lew, Karen Gongora, Janet Henry, **Peter Merson**, Laura Szego

The actual memo is not available, but this increase occurred.